better than the original TSM and RSM strategies as benchmarks.[22] A \$1 investment in TSM, TSM realised winner, and TSM contrarian loser strategies would be worth \$16.63, \$143.82, and \$209.07, respectively at the end of the sample period.[23] When the RSM frameworks is used, the realised winners and the contrarian losers also show substantially higher performance than the original RSM strategy.

We contend that our trend-following reversal strategies can be applied by practitioners. Based on our dataset, which consists of 55 instruments, each subgroup has sufficient assets allocated to it across time. Therefore, trend-following reversal strategies are liquid and tradable, as each sub-portfolio has at least five instruments in most cases. Figure 7 illustrates the proportions of individual instruments falling into the four sub-portfolios under a TSM trading strategy using a $(12, 12)$ scheme.[24] Generally, the four subgroups are allocated evenly across different instruments, except that the realised winner subgroup accounts for a slightly larger proportion and the realised losers account for a smaller proportion. This reflects the asset diversification of trend-following reversal strategies.

5.2. Risk Exposure Analysis

To understand the dynamics of the trend-following reversal strategies, we regress the returns of these sub-portfolios for each of the TSM and RSM strategies $(12, 12)$ on four classes of market risk factors. First, Table 4 shows the results of the Fama–French three-factor and five-factor models as in Fama and French (1993) and Fama and French (2015), respectively. Second, in Table 5 Panel A, we detail the global asset class factors consisting of the MSCI World Index, S&P GSCI, Barclays US

[22]The outperformance of the realised winner and the contrarian loser holds when we use a similar sample by excluding all the bond futures. These results are available in Section D of the Online Appendix.

[23]The transaction costs are not considered here as we use the nearest futures contracts which are required to roll each month. Therefore, the transaction costs will be indifferent across all the strategies including the buy-and-hold strategy. For example, if the average rolling cost for the portfolio is 10 basis points each month, then approximately 1.2% transaction cost is subtracted from the annual return of each strategy.

[24]Similar results, obtained under the RSM trading strategies and using different $(12, k)$ schemes, are also available on request.